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Market Briefs Pro

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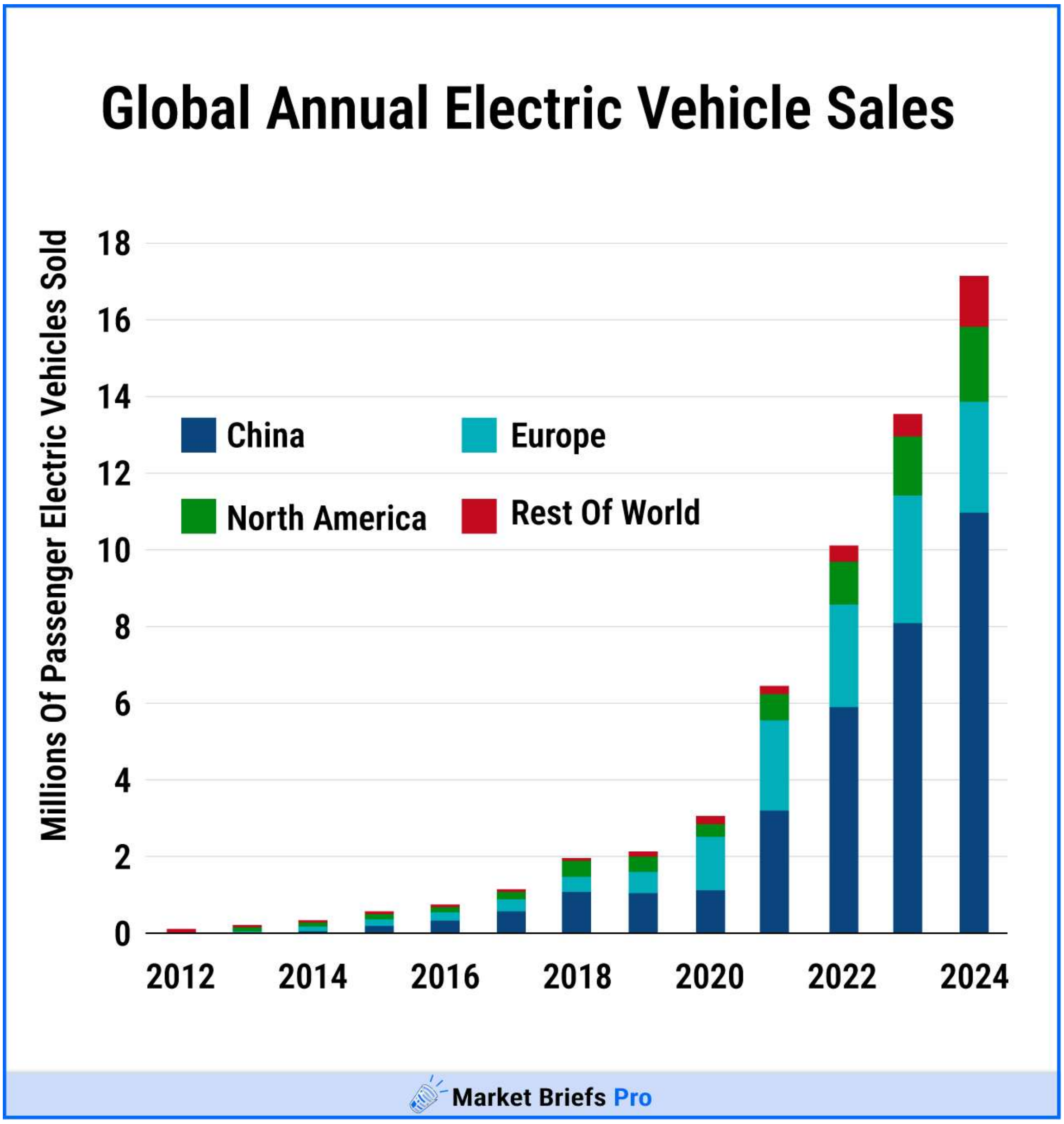
Good morning, Pro Briefers!

While many U.S. consumers are still on the fence about electric vehicles (EVs), global adoption has been charging up.

- In 2023, we saw nearly 14 million new EVs sold globally, up 35% year-over-year.

- In 2024, we saw that number grow to over 15 million, up another 25% year-over-year.



Data via Yale

And while the Trump administration has cut some of the EV incentives, U.S. adoption is expected to grow in 2025, although at a slower pace than before.

But the EV industry is more than just car companies.

The automotive supply chain is a robust industry with companies that do everything from making lightbulbs to forging steel.

And this supply chain is where we've identified a Main Street Shift: Global consumers are buying more EVs, and reshaping the American supply chain.

This is allowing companies that produce EV parts to power up profits.

This week, we're going to look at how sales are growing for:

- Companies that make complete EV systems like steering or suspension.

- Companies that make individual EV components.

We'll do this by showing the profits and transformations in these areas

We're also going to showcase a unique investment strategy that could have investors growing their portfolio alongside this major market.

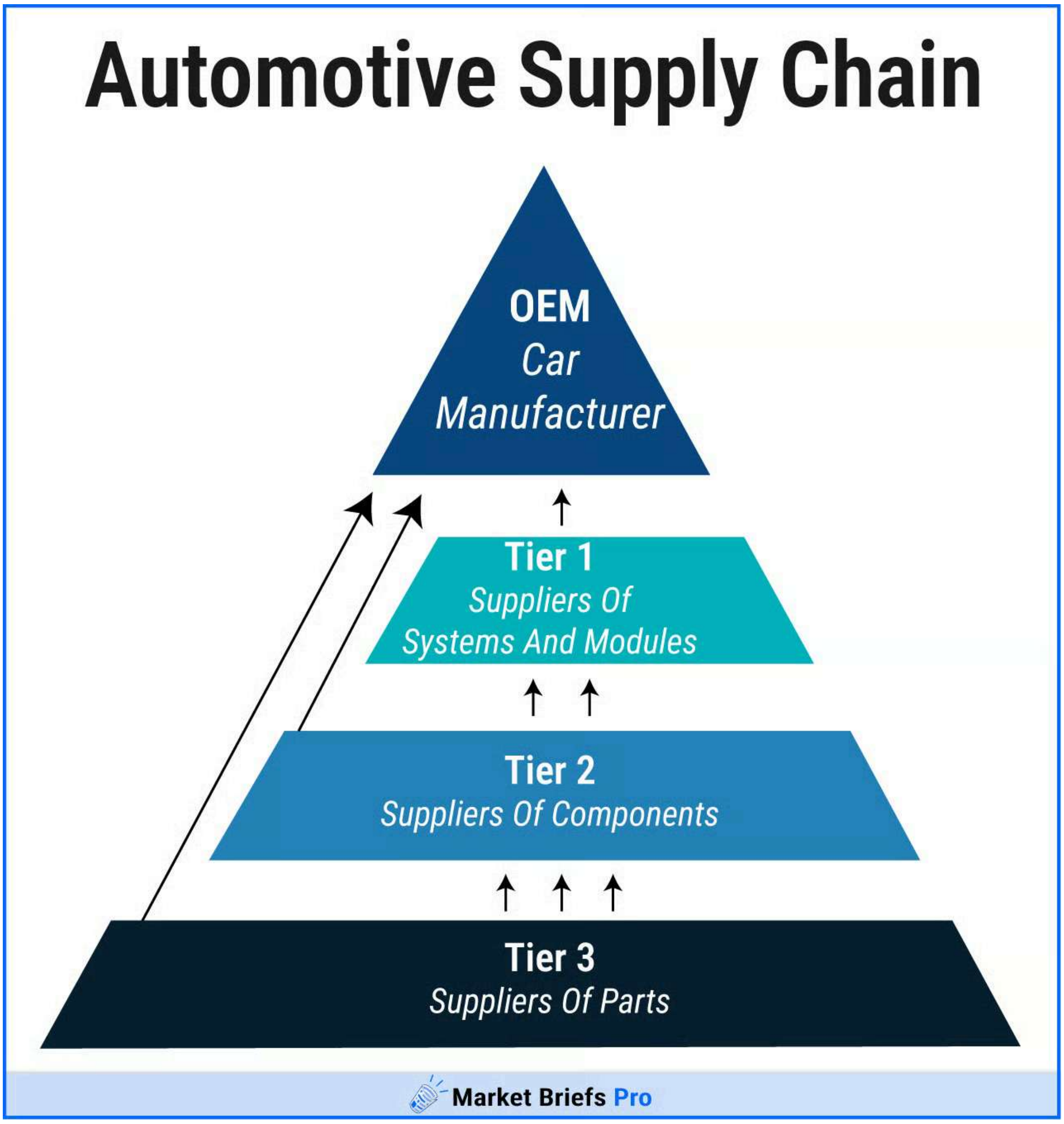
INDUSTRY

Tier 1 Suppliers

While EV adoption has been growing in the U.S., this is truly a global trend, with China and Europe outpacing the rest of the world.

Tier 1 suppliers have found themselves pivoting from their traditional parts into EV parts, often aggressively.

Definition: A Tier 1 supplier is a company that sells finished car parts directly to an automaker (like General Motors).



Data via Magna

- Tier 2 and 3 suppliers make smaller parts or components, and usually sell to other suppliers instead of directly to automakers.

So why the aggressive pivot?

Well, many of the parts manufactured for traditional gas cars just aren't used in EVs.

To better understand this shift, our analysts had an exclusive interview with James Mangrum, an automotive industry veteran of over 50 years.

James worked as an executive for Tier 1 suppliers, including Dana, GKN, and most recently NGK.

NGK is the largest producer of spark plugs in the world, a part exclusive to gas cars. James said EV’s were a “big part of the conversation” for NGK:

“They thought within 10 years, there would barely be any spark plugs in the United States, or they would only be for replacement.”

When asked if he thought the auto industry would stop the EV pivot with the Trump administration pulling away from EVs, he thought it was unlikely:

“They’re not going to stop this electric thing. They’ve brought it to this stage and pushed it. Now it’s going to slow down, until China comes in.”

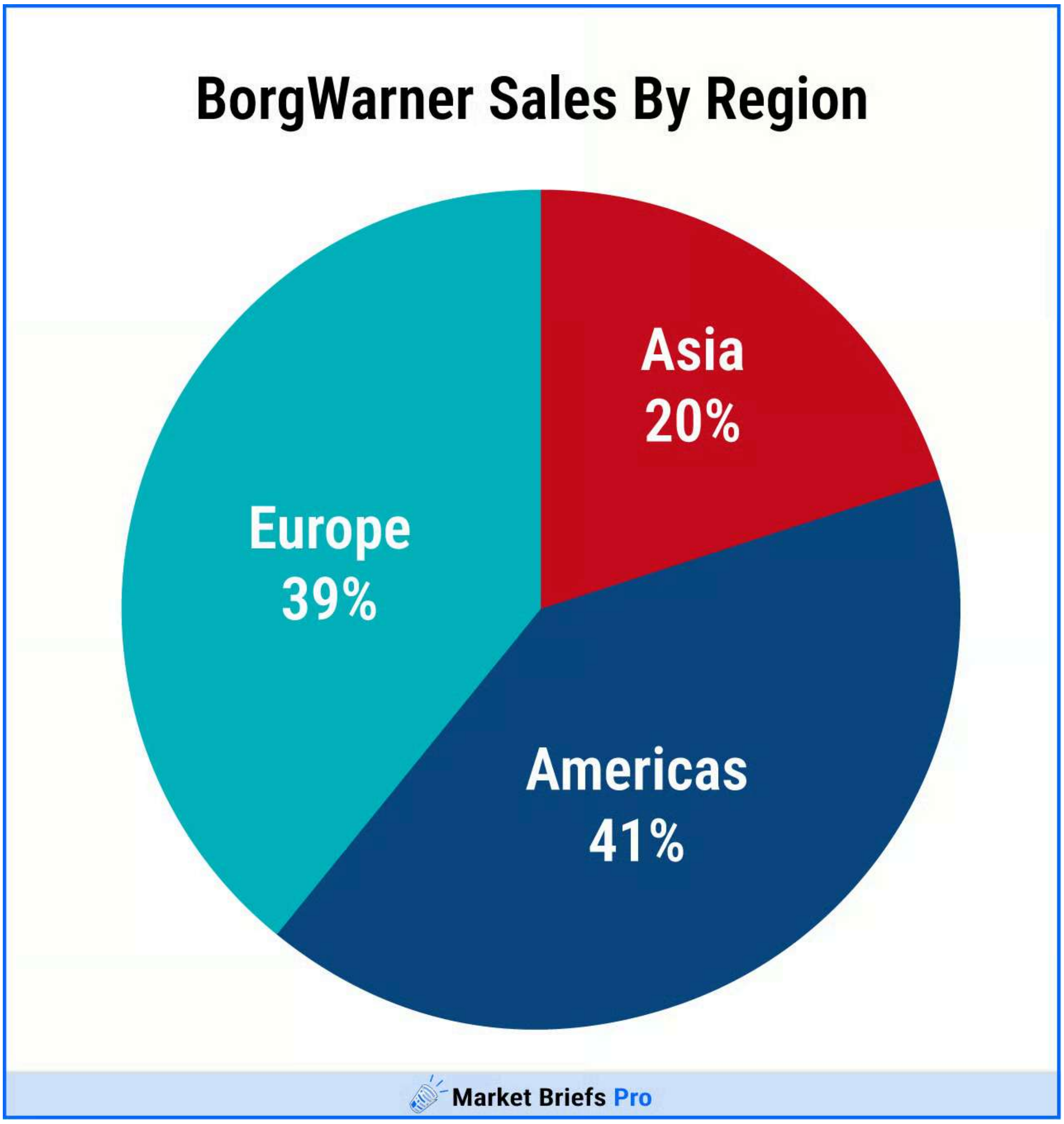
Worried about losing sales, or their parts becoming obsolete, suppliers are making pivots into EV parts. One of the companies making a transition is BorgWarner (BWA).

With a history that spans back to 1880 and a $6 billion market cap, BorgWarner is a titan of the American automotive industry.

The company’s longtime offerings are parts specifically designed for combustion engines:

- Turbochargers
- Fuel injection systems
- Engine cooling systems

And more.



Data via BorgWarner

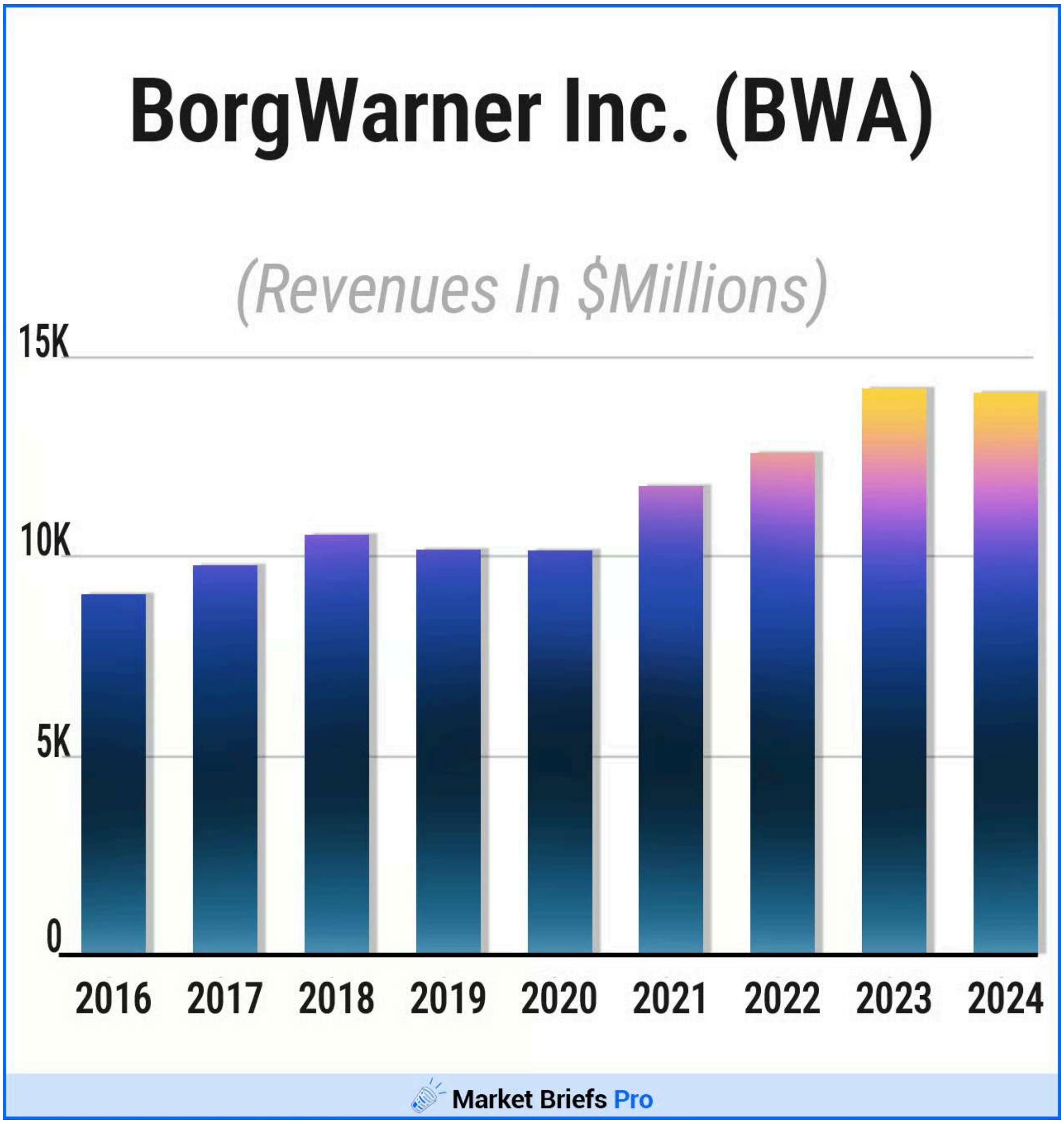
But with nearly 60% of its sales in the EV-heavy markets of Europe and Asia, the company found itself needing to adapt.

In 2015, BorgWarner started to offer EV-specific parts such as electric motors and battery cooling systems, and since then it’s become a rapidly growing part of its revenue.

- In 2019, BorgWarner’s EV revenue was about $200 million, or around 2% of its total revenue.

- By 2022, BorgWarner’s EV revenue broke $1.5 billion, or around 12% of its total revenue - the first of many major jumps.

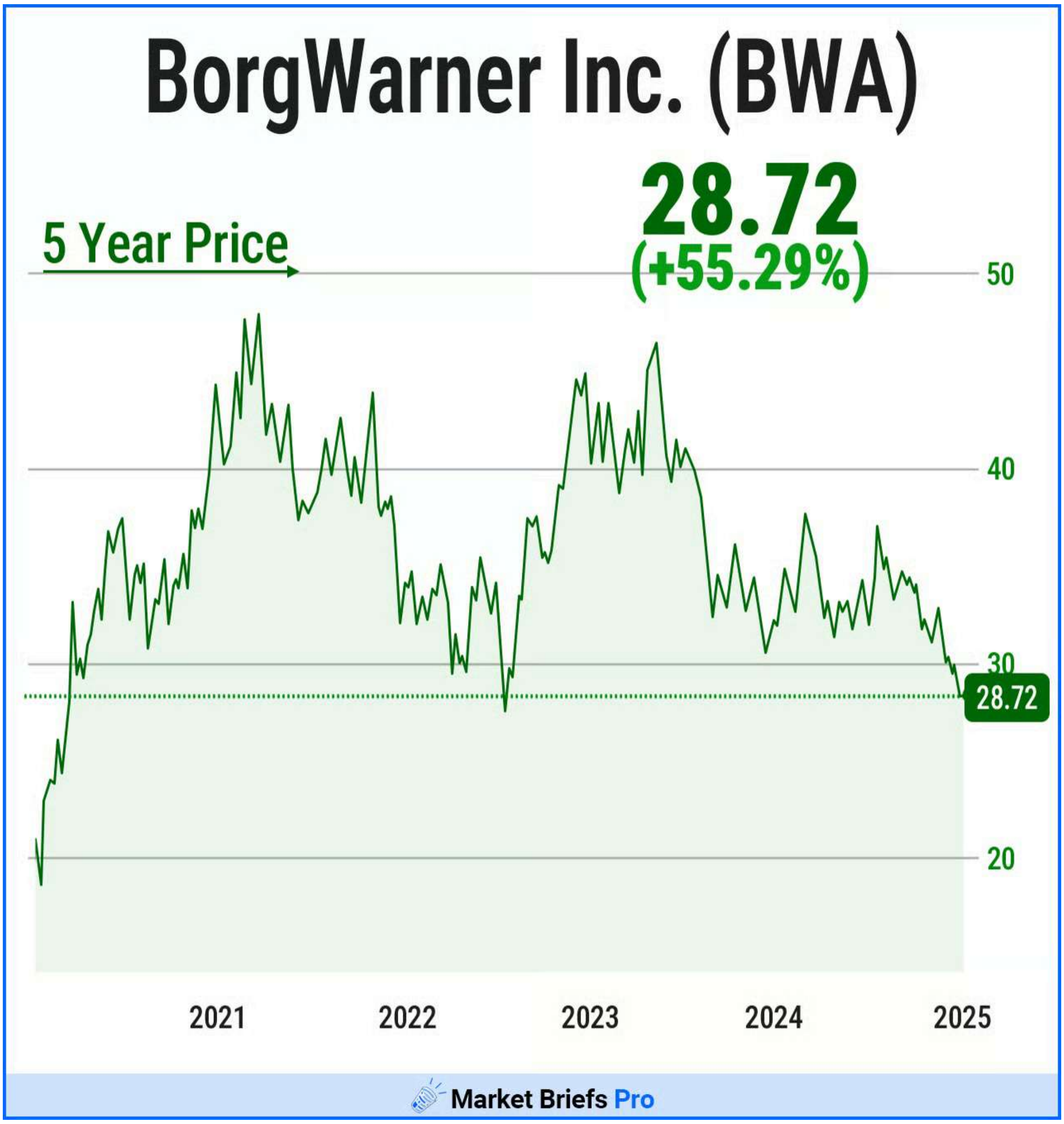
- As of 2024, BorgWarner’s EV revenue is up to $2.4 billion, or 17% of its total revenue.



Data via BorgWarner

Trying to stay ahead of the game, BorgWarner announced its “Charging Forward” strategy in 2020, which has committed to an EV revenue goal of 25% by 2025, and 45% by 2030.

This forward thinking has helped BorgWarner’s share prices remain stable, even during industry downturns.



Data via Yahoo! Finance

- Company shares are up 5% in the last five years. While this seems low, investors are hoping it goes higher.

By having extensive offerings for both combustion engine vehicles and EVs, BorgWarner has also made itself resilient to a changing industry.

Established suppliers can also leverage their existing partnerships, making it easier to find customers for new offerings like EV parts.

One supplier that has done this very well is Magna International (MGA).

A competitor to BorgWarner, Magna has similarly built its business on parts that cater to combustion engine vehicles.

One key difference: Magna also does complete vehicle assembly for several of its partners such as BMW and Jaguar - actually building the vehicles in addition to supplying parts.

Data via Magna

And much like BorgWarner, Magna's business is heavily dependent on Europe and Asia for both its parts sales and its vehicle assembly segments.

Magna has pivoted to sell a number of EV components such as battery cases - but has also begun to assemble full EVs for other companies.

It currently builds several EVs:

- The Jaguar I-PACE
- The Fisker Ocean
- The Mercedes-Benz G-Class EV (prototype)

It has also announced partnerships with several undisclosed EV startups, using its assembly facilities to bridge the gap between development and manufacturing.

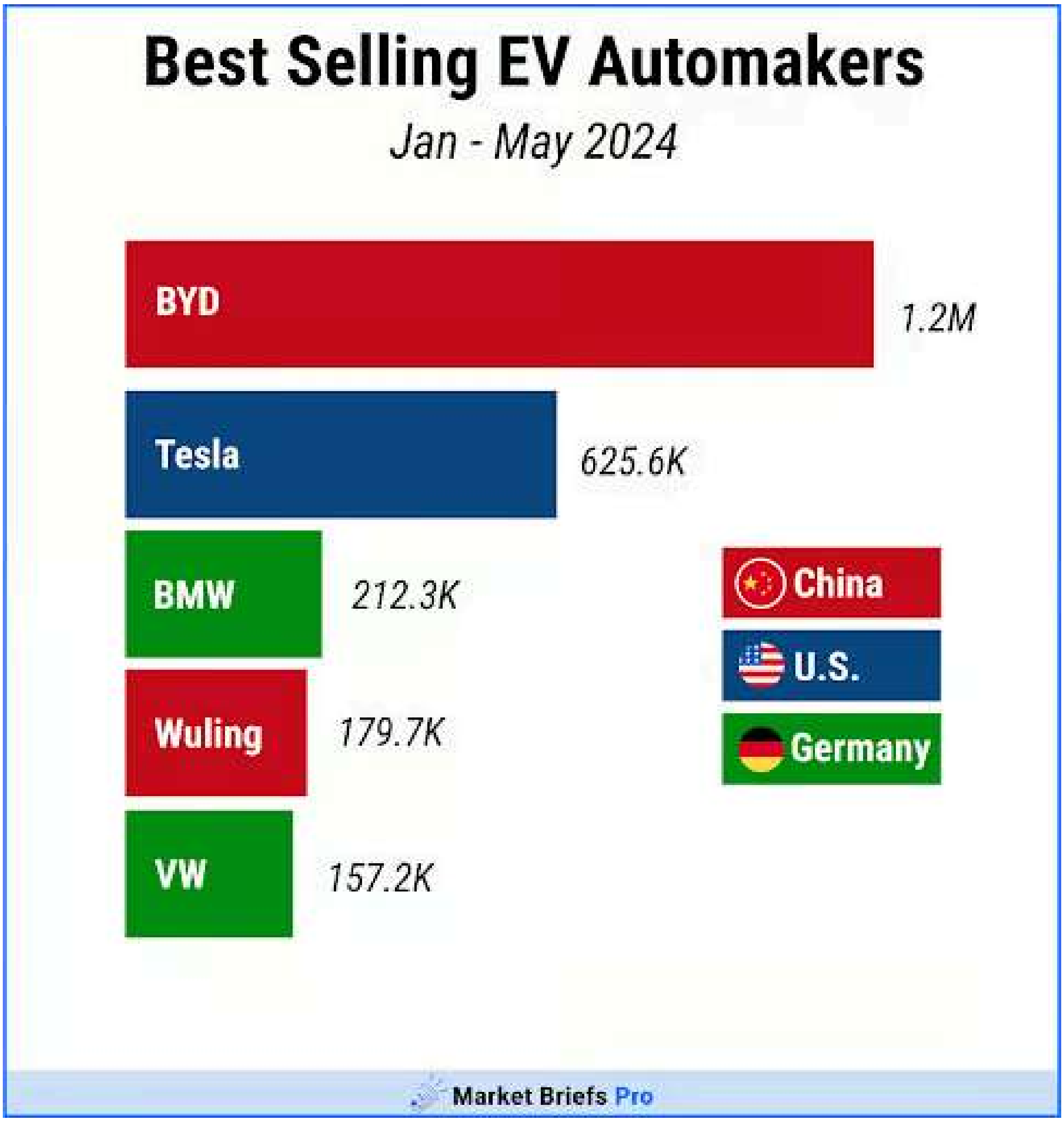
Data via Yahoo! Finance

Magna's stock and revenue have been on a steady decline over the past few years, but the company beat earnings estimates at the end of Q4, and recently the average analyst target has increased.

The company and analysts are expecting its EV pivot to help the company not only stabilize, but also grow as the EV market booms.

Particularly through its startup partnerships in Asia.

While the Asian market represents a smaller active market for companies like BorgWarner and Magna, it represents the largest market for EV adoption.



Data via EV Volumes

China is the global leader in EV adoption, and its automaker BYD produces the most EVs in the world by a large margin.

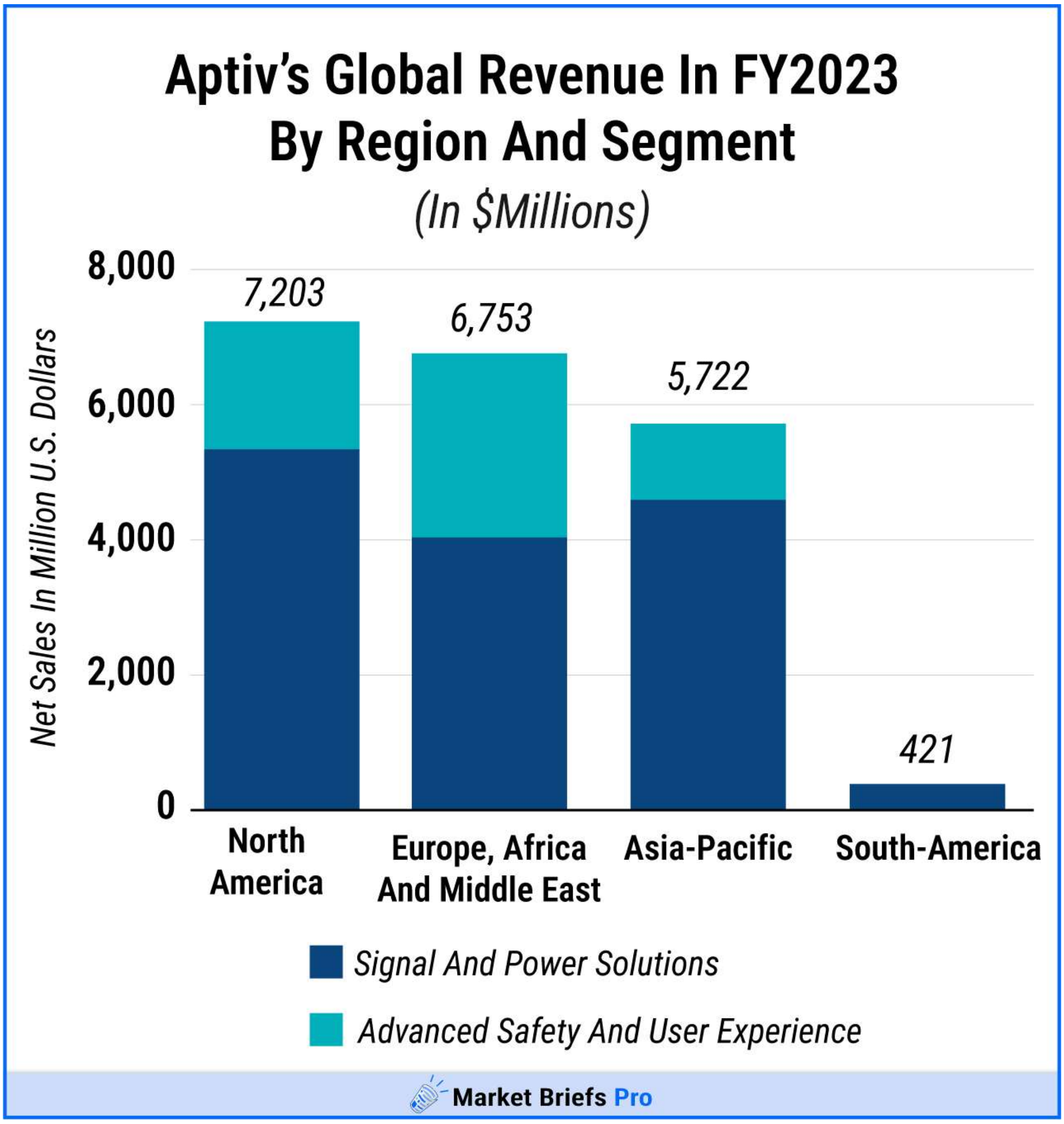
- BYD produced over 4 million electric and hybrid vehicles in 2024, a 41% year-over-year increase.

By comparison, the second largest EV producer is Tesla, which produced 1.7 million vehicles in 2024, less than half that of BYD.

James told our analyst that some U.S. suppliers are already working with Chinese EV companies.

And when asked about those who haven't started working with China, he simply said: "They will."

Aptiv (APTV) is the largest of the suppliers we've discussed with a market cap of $14.68 billion, and has the largest focus on the growing Chinese EV market.



Data via Statista

China is Aptiv's single largest regional market, representing 30% of its total revenue in 2023.

In addition to creating facilities in China to supply global automakers such as GM and Volkswagen (VW), Aptiv has a long history with Chinese auto brands, including:

- BYD
- NIO
- Geely (6th largest EV producer)
- XPeng
- Li Auto

These long-term partnerships have made Aptiv very familiar with Chinese regulations and also allow it to do local manufacturing for Chinese automakers, putting it ahead of the competition.

While Aptiv doesn't specify how much of its revenue comes specifically from EV parts, its Electrical Distribution System was so successful that the company announced it was spinning it off into its own business in January 2025.

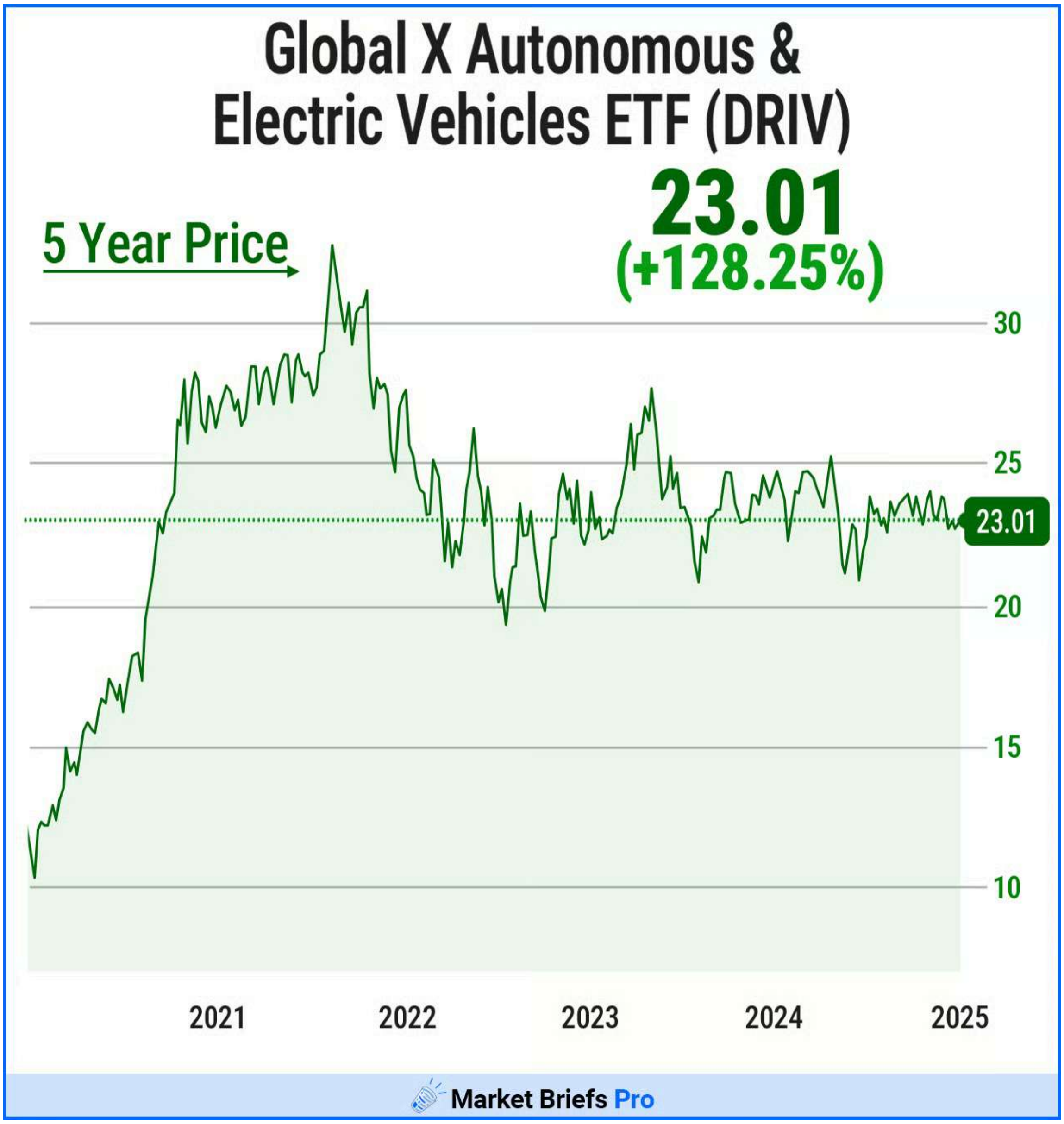
This accounts for just one of Aptiv's many EV products.

Data via Yahoo! Finance

Aptiv shares are down 20% over the past year, but up nearly 6% YTD. With the American market starting to see a downturn, Aptiv is uniquely positioned to keep growing.

As an essential part of BYD's production, Aptiv could continue to see growth alongside the Chinese EV market, even if the American EV and auto markets struggle.

These three suppliers have made enough of a pivot into the EV space that they can all be found in the Global X Autonomous & Electrical Vehicles ETF (DRIV).



Data via Yahoo! Finance

PARTS

Component Specialists

These Tier 1 suppliers make their money by selling entire parts or systems to automakers, but the EV boom has affected other parts of the supply chain as well.

Several companies have found success in creating specific components for EVs - things like circuits or connectors used in bigger EV parts.

Tier 2: By supplying components instead of finished parts, these are considered Tier 2 manufacutrers.

One key difference - these companies make a big part of their revenue selling to other suppliers like those we mentioned earlier.

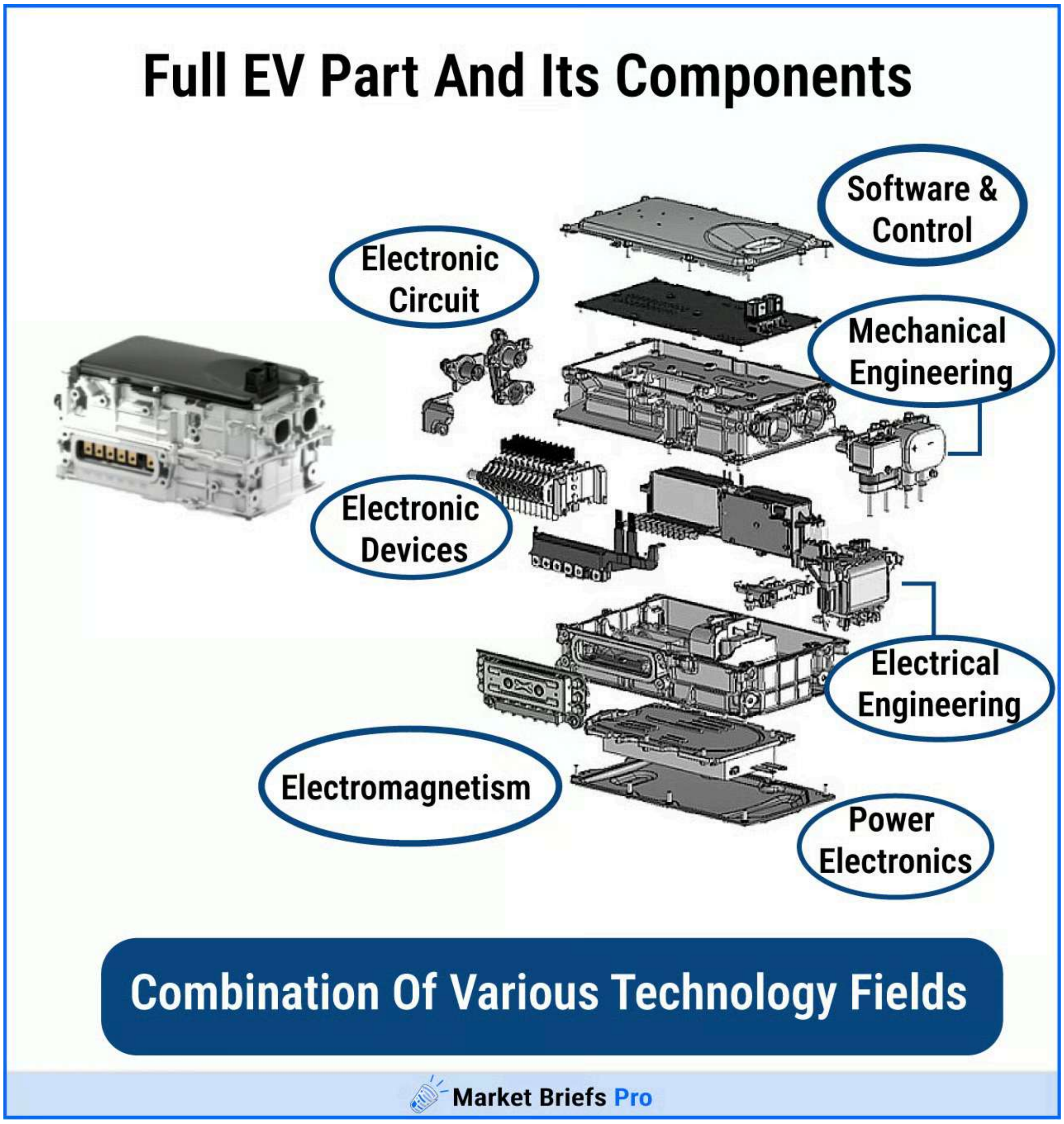


Image via Denso

In fact, several of the component specialists that are the best positioned to grow alongside EV adoption

It's because they have major contracts with companies like BorgWarner, Magna, and Aptiv.

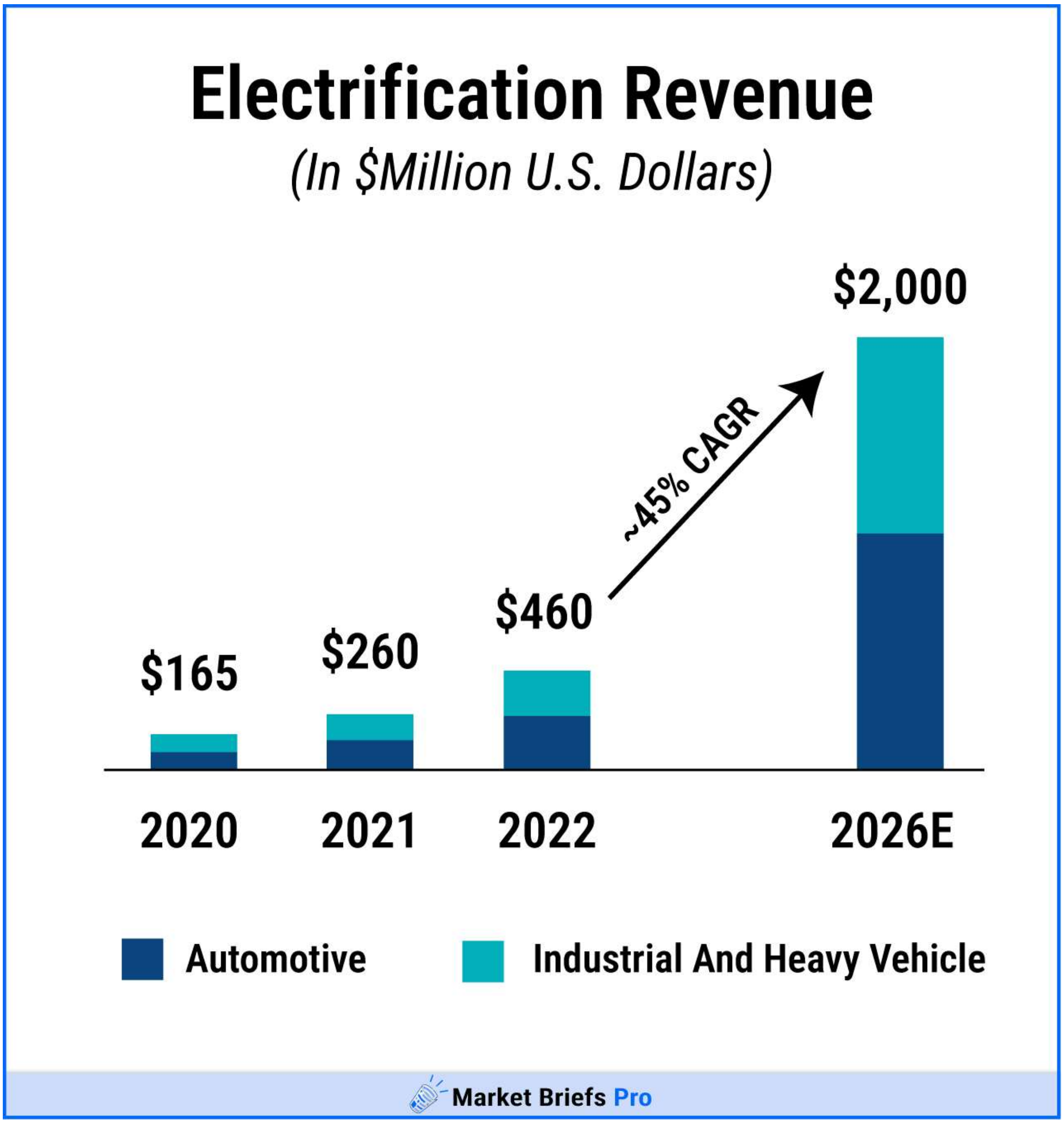
One of the most prominent is Sensata Technologies (ST). Originally part of Texas Instruments (TXN), Sensata was spun off in 2006 and creates many of the sensors used by EV makers.

In addition to all three of the Tier 1 suppliers we mentioned earlier, they also hold key contracts with major EV makers such as:

- Tesla
- BYD

- VW
- Ford
- GM

These major contracts mean that Sensata components are found in the EVs of all the companies above.

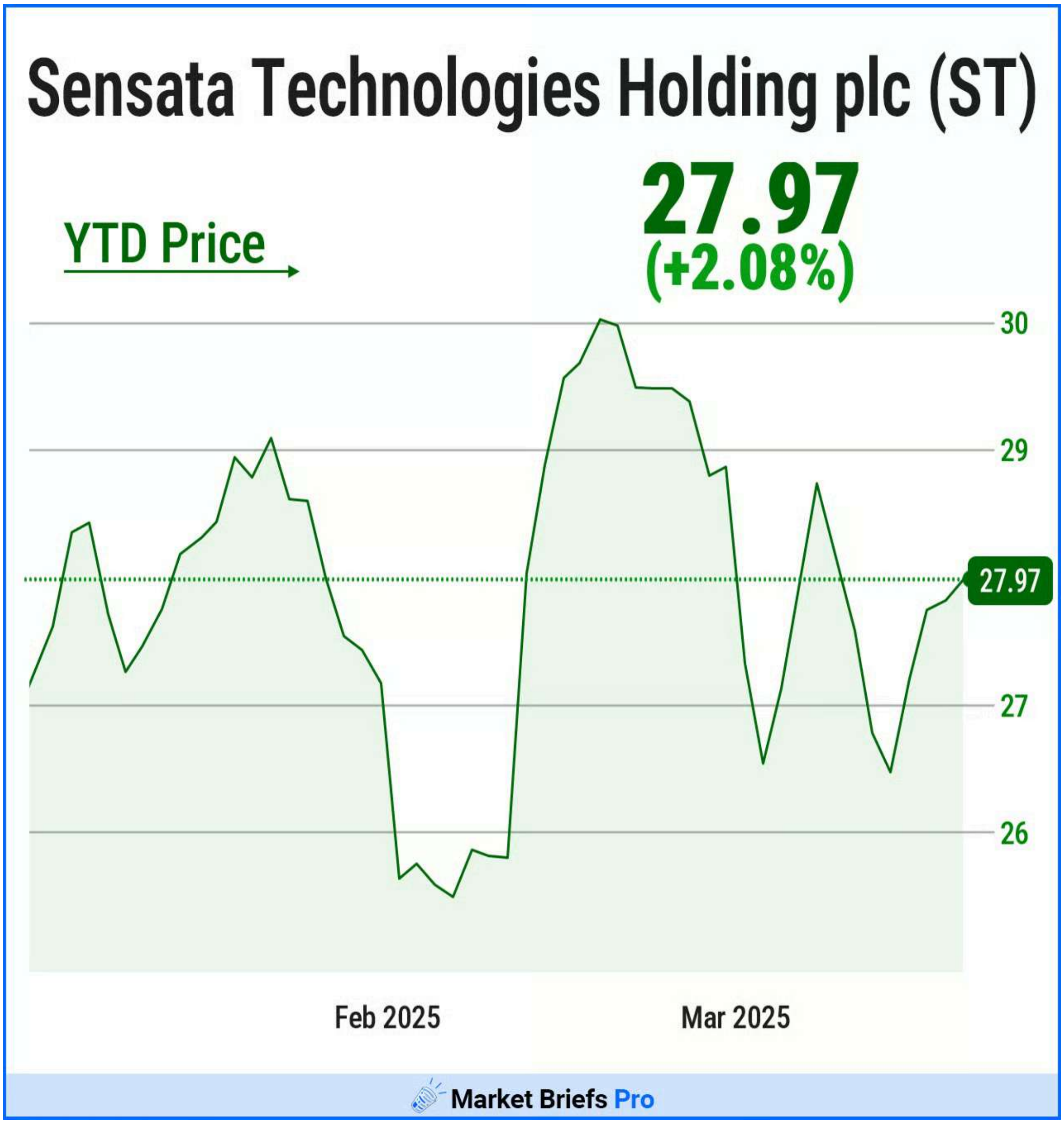


Data via Sensata

EV parts currently account for about 25% of Sensata's revenue, but the company estimates that with the current pace of global EV adoption, they will become 40% of its revenue by 2028.

Sensata's share prices have been trending down since 2022, and are down 25% over the last year.

But by consistently beating estimates and deepening its relationship with global EV brands like BYD and VW, the company is well positioned for growth.



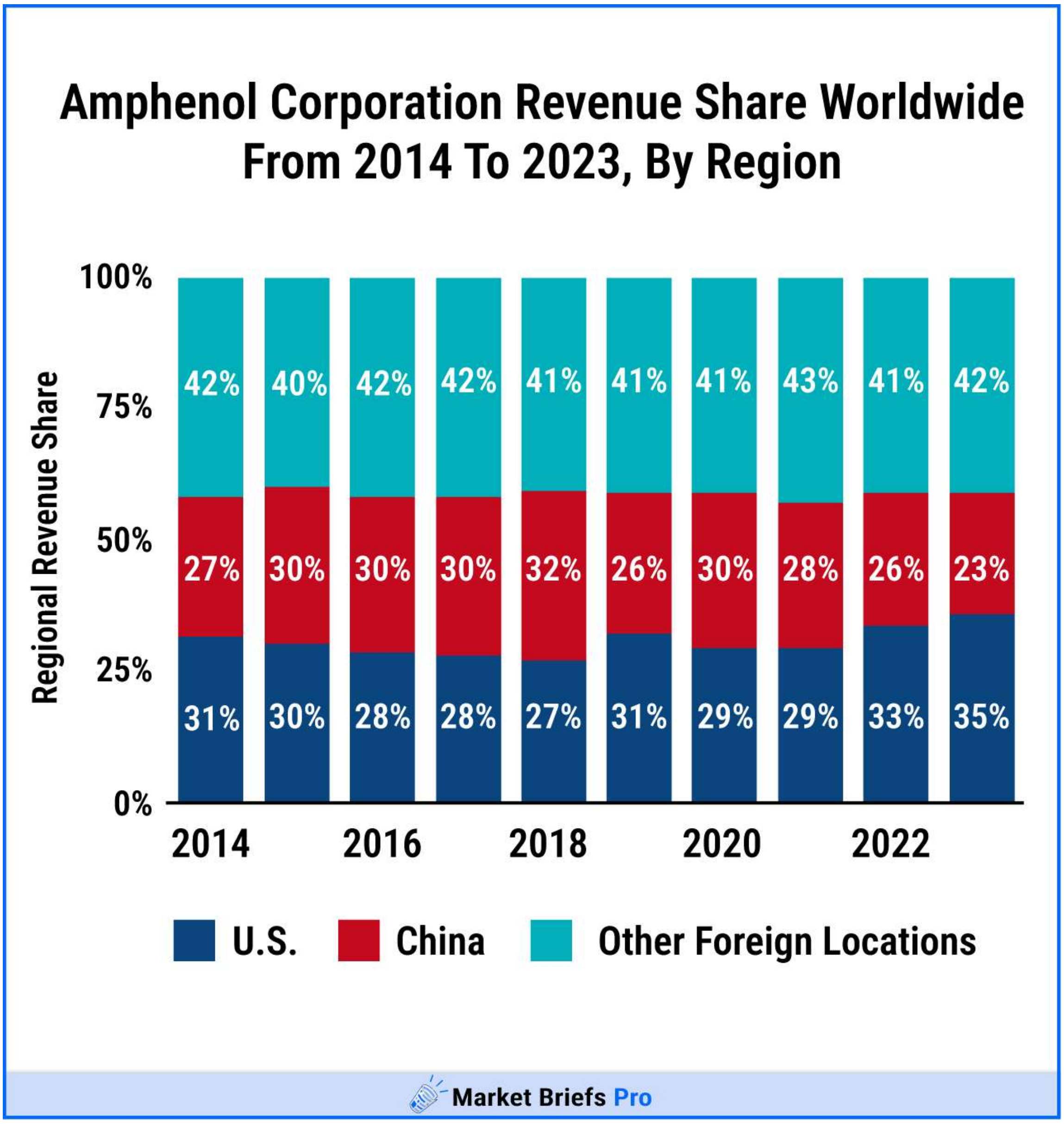
Data via Yahoo! Finance

EV components have become such an attractive market that companies supplying multiple industries are starting to grow their EV segments.

One such company is Amphenol (APH), a connector and sensor supplier that also supplies everything from medical devices to data centers.

What does it do? Amphenol's main product is a connector that is a required component for things like high-voltage wires, battery packs, and charging ports - all critical components of EVs.

These products have made it a valuable partner for nearly every EV manufacturer and their suppliers. This includes Chinese giants like BYD.



Data via Statista

- $2.8 billion of Amphenol's revenue comes from the automotive industry, around 22% of its total.

- An estimated 40% of that revenue comes from EV parts.

Amphenol has the benefit of a diverse portfolio of customers.

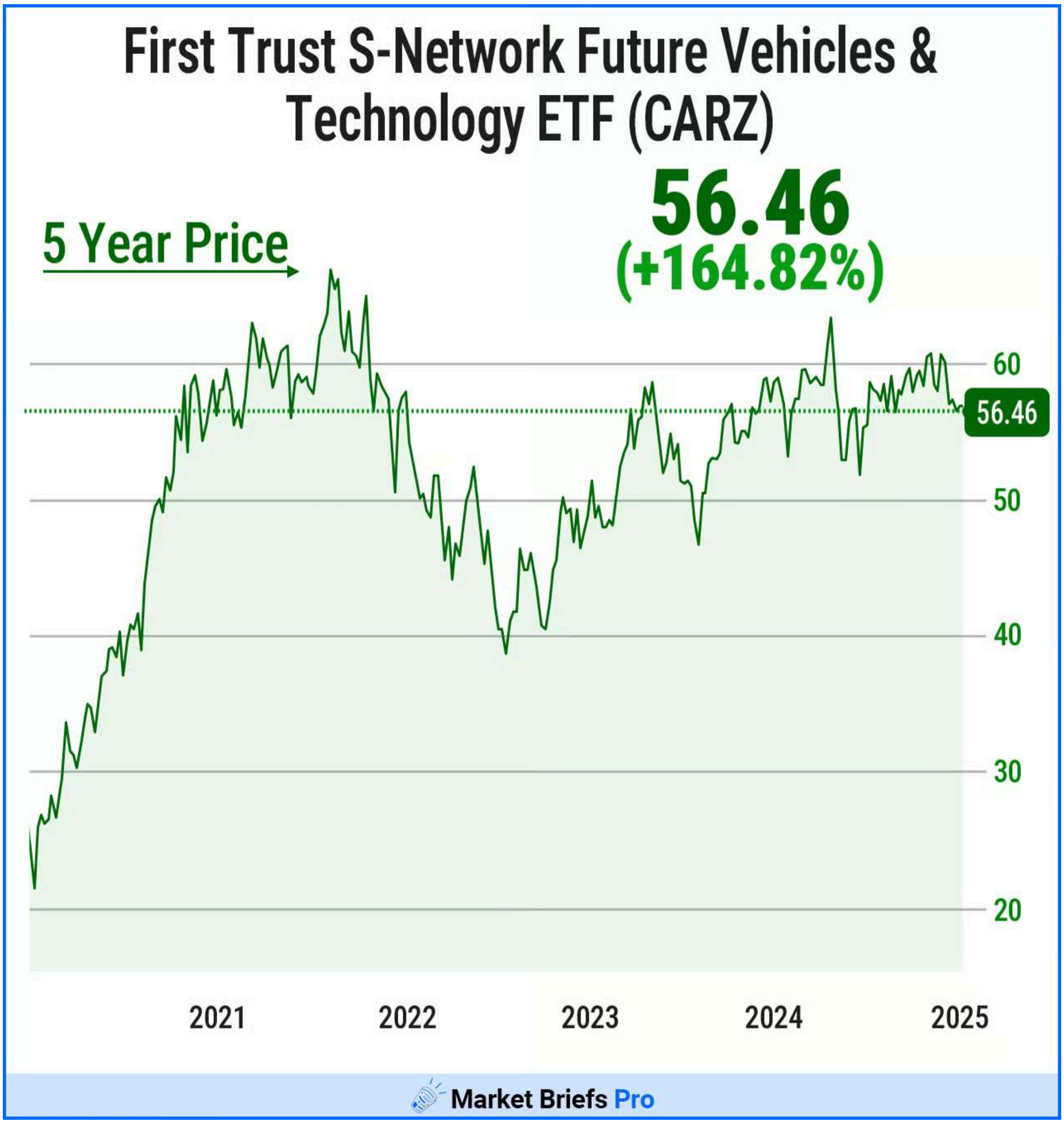
While many EV suppliers have seen slower growth from economic downturns in Europe and Asia, Amphenol has been able to fall back on industries like aerospace for profit.

This has allowed it to grow its EV segment even through downturns and puts it in a perfect position when things are back on the rise.

Data via Yahoo! Finance

Component specialists like Amphenol and Sensata can be found in many of the same ETFs as the Tier 1 suppliers, including the previously mentioned (DRIV).

Investors looking for additional options can also find companies from this shift in the First Trust Nasdaq Clean Edge Smart Transportation & Technology ETF (CARZ).



Data via Yahoo! Finance

RISKS

The Trump Card

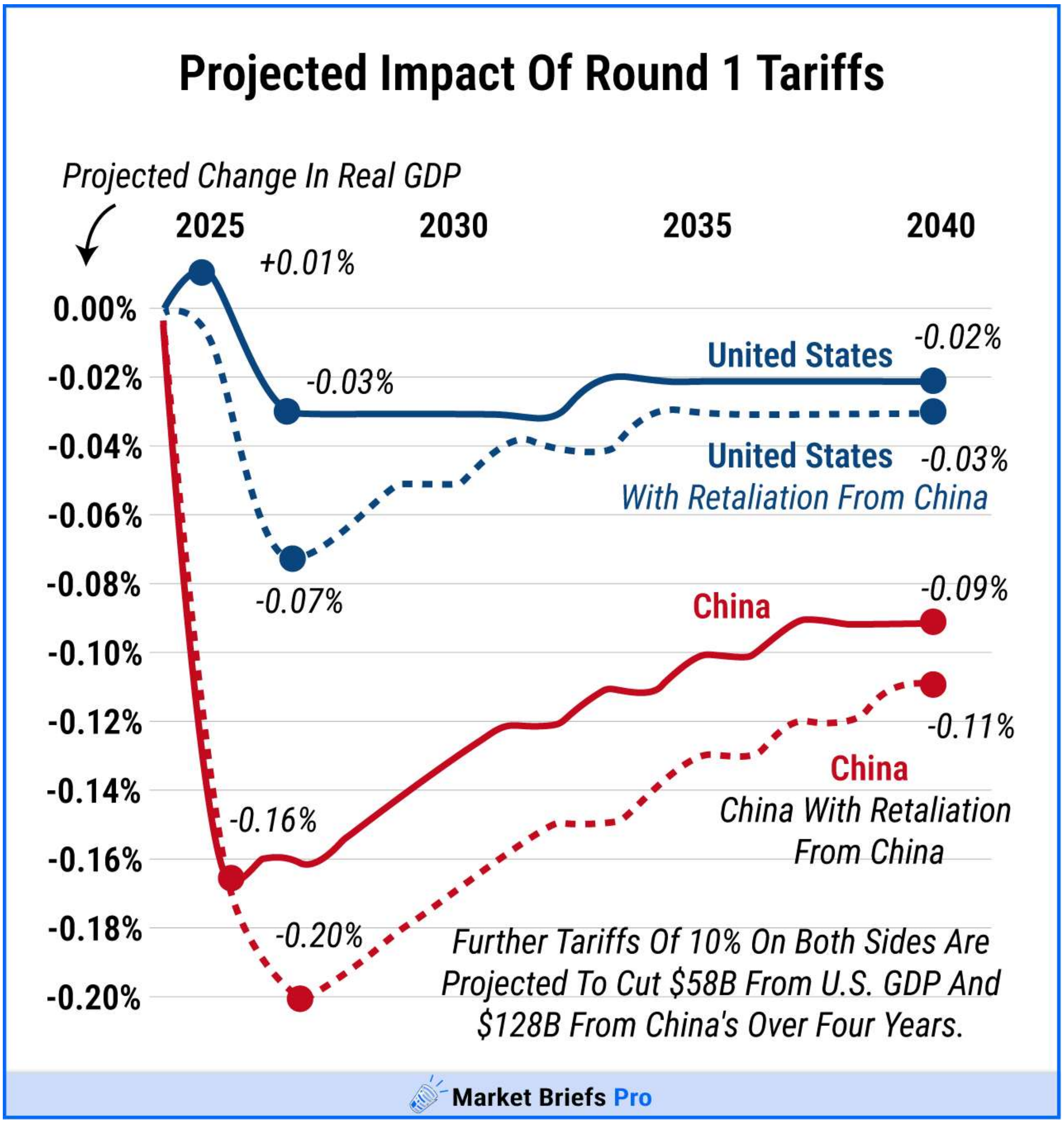
The global EV market has hit a few bumps in the road, so investing in the supply chain isn't without risk.

First and foremost, the Trump administration has announced its intent to cut EV incentives, and new automotive tariffs affect **all** vehicles in the U.S..

In addition, the White House is currently attempting to repeal a longstanding climate policy that allows California to set its own emission standards.

California is the largest EV market in the U.S., and changing its emission standards could potentially slow U.S. EV adoption.

And since cars need to be produced at-scale (instead of separate models for California), the stricter regulations tend to set the standards for everyone.



Data via Visual Capitalist

What about the rest of the world?

Although EV adoption faces issues in the U.S., it's thriving in Europe and Asia - but those regions have their own issues.

Europe has been in the midst of an economic downturn, which has hit German automaker (and major EV company) VW particularly hard.

With European automakers struggling financially, it has become more difficult for them to create newer and better EVs, and it has limited their overall supplier spending.

China has also seen harsh economic conditions over the past few years, suffering from currency deflation and unstable markets.

And a new round of tariffs from the U.S. are predicted to deepen its economic struggles.

While it’s difficult to judge the exact effect of this downturn on the Chinese economy, struggling consumers tend to avoid major purchases like cars.

Chinese automakers are likely to face the same issues as their European counterparts.

REVIEW

EVs In The Fastlane

We can speculate about how global economic troubles will slow down EV adoption, but as of right now, the adoption rate is still increasing.

As long as there are EVs being sold, even if they’re just being sold as an alternative to combustion engine vehicles, there is a need for an EV supply chain.

And despite economic downturns, the more prominent suppliers are still making major shifts to create EV specific parts.

Despite working over 50 years in supplying gas cars, James’ final words to our analyst were reassuring that EVs were here to stay:

“I think people just need to be patient. Don’t push - if you push it, people resist…but even I am gonna get around to looking at EVs.”

This shift has already started, but there’s still an opportunity for investors as it begins to kick into high gear. Those that act quickly may be able to supercharge their portfolios.

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